

Tong Yang Industry (1319 TT)

 Target price: **TWD100.00** (from TWD91.00)

 Share price (11 Oct): **TWD78.90** | Up/downside: **+26.7%**

5 4 3 2 1

 **Buy**
(unchanged)

Anticipating another round of upward EPS revisions

- 3Q23 EPS hits record high in light of upbeat margins
- Order outlook remains robust for upcoming peak season
- Reaffirming our Buy (1) call; lifting 12-month TP to TWD100

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What's new: Tong Yang released its 9M23 operating data on 11 October, having released its 9M23 revenue data on 4 October (see our [memo](#)). We believe the increasing adoption of after-market (AM) components in the US is likely to make it a structural trend, which we see as a mid-to-long-term revenue driver. However, in the near term, we believe the upward EPS revision trend will be the share-price catalyst. We reaffirm our Buy (1) call.

What's the impact: Record-high quarterly EPS in 3Q23, mainly thanks to revenue, gross margin and operating margin beat. Tong Yang's 3Q23 revenue of TWD6,154m (+10.9% QoQ and +11.3% YoY) was ahead of our forecast and the consensus estimate by 6.1% and 4.8%, respectively, mainly due to the solid AM revenue and recovery in China OEM revenue. Its operating margin came in at 16.5% in 3Q23, ahead of our (14.9%) and the consensus (14.7%) forecasts. Its operating profit of TWD1,018m (+27.8% QoQ and +82.4% YoY) beat both our and the consensus forecasts by 17.6%, which we attribute to the upbeat gross margin from the AM business with improving operating leverage. With an FX gain of TWD187.4m, Tong Yang's pre-tax profit of TWD1,238m (+30.4% QoQ and +43.4% YoY) beat our and the consensus estimates by 16.9% and 23.3%, respectively. Its gross margin was c.30% in 3Q23 (vs. our forecast of 28.9% and the consensus forecast of 28.8%), up from 29.0% in 2Q23 and 24.6% in 3Q22.

Solid order outlook for AM segment plus recovery of China OEM segment. Tong Yang's AM order demand remains solid, especially from the US, Europe and Central and South America, thanks to the upcoming peak season and the promotion from State Farm AM adoption, which should be the key earnings driver for Tong Yang. Its OEM revenue improved MoM in September 2023 and we expect the momentum to carry forward into 4Q23, with an improving gross margin. We revise up our 2023-25E EPS by 6-7%, mainly after factoring in our more aggressive revenue and margin assumptions.

What we recommend: We reaffirm our Buy (1) call and raise our 12-month TP to TWD100 (from TWD91), still based on a target PER of 18x applied to our 1-year forward EPS, backed by an accelerating earnings momentum over 2023-25E and a likely structural trend that will lift the AM penetration rate in the US. Our target PER is around the average of the stock's past-3-year range of 7-31x. Key downside risks: weaker-than-expected gross-margin expansion and AM revenue.

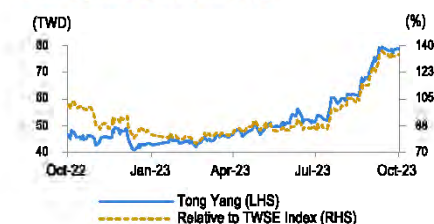
How we differ: Our 2023-25E EPS are 4-10% above the consensus, likely as we are more aggressive on its revenue and gross margin expansion.

Forecast revisions (%)

Year to 31 Dec	23E	24E	25E
Revenue change	3.2	3.2	3.2
Net profit change	7.4	6.1	5.8
Core EPS (FD) change	7.4	6.1	5.8

Source: Daiwa forecasts

Share price performance



12-month range	40.90-79.40
Market cap (USDbn)	1.45
3m avg daily turnover (USDm)	24.57
Shares outstanding (m)	591
Major shareholder	Wu family (50.0%)

Financial summary (TWD)

Year to 31 Dec	23E	24E	25E
Revenue (m)	23,593	25,329	27,202
Operating profit (m)	3,524	3,905	4,324
Net profit (m)	3,067	3,272	3,636
Core EPS (fully-diluted)	5.185	5.531	6.145
EPS change (%)	42.6	6.7	11.1
Daiwa vs Cons. EPS (%)	10.1	7.5	3.9
PER (x)	15.2	14.3	12.8
Dividend yield (%)	4.6	4.9	5.5
DPS	3.6	3.9	4.3
PBR (x)	1.8	1.7	1.6
EV/EBITDA (x)	6.5	5.6	4.8
ROE (%)	12.4	12.3	12.8

Source: FactSet, Daiwa forecasts

Tong Yang: revisions to Daiwa's revenue and earnings forecasts

(TWDm)	2023E			2024E			2025E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	23,593	22,868	3.2%	25,329	24,550	3.2%	27,202	26,364	3.2%
Gross profit	6,851	6,508	5.3%	7,451	7,114	4.7%	8,105	7,739	4.7%
Gross profit margin	29.0%	28.5%	0.6pp	29.4%	29.0%	0.4pp	29.8%	29.4%	1.5pp
Operating profit	3,524	3,283	7.3%	3,905	3,677	6.2%	4,324	4,074	6.1%
Operating profit margin	14.9%	14.4%	0.6pp	15.4%	15.0%	0.4pp	15.9%	15.5%	2.9pp
Net profit	3,067	2,855	7.4%	3,272	3,084	6.1%	3,636	3,438	5.8%
Net profit margin	13.0%	12.5%	0.5pp	12.9%	12.6%	0.4pp	13.4%	13.0%	2.5pp
Diluted EPS (TWD)	5.18	4.83	7.4%	5.53	5.21	6.1%	6.15	5.81	5.8%

Source: Daiwa forecasts

Tong Yang: 3Q23 unaudited results vs. Daiwa and the Bloomberg consensus

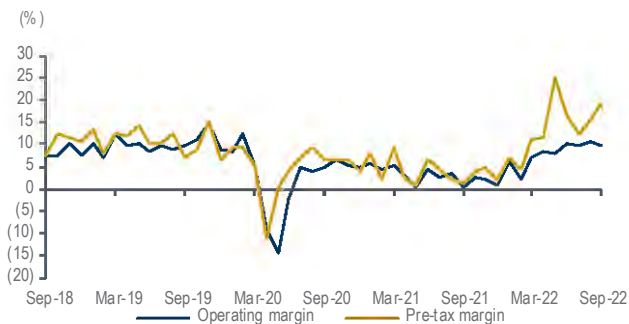
(TWDm)	Tong Yang's 3Q23 results	Daiwa forecast	Differ	Bloomberg consensus	Differ
Revenue	6,154	5,798	6.1%	5,871	4.8%
Operating profit	1,018	866	17.6%	866	17.6%
Profit before tax	1,238	1,059	16.9%	1,004	23.3%
Margin					
Operating margin	16.5%	14.9%	1.6pp	14.7%	1.8pp
Pre-tax margin	20.1%	18.3%	1.9pp	17.1%	3.0pp

Source: Company, Bloomberg, Daiwa forecasts

Tong Yang: quarterly P&L

(TWDm)	2023E				2024E				2023E	2024E	2025E
	1Q23	2Q23	3Q23E	4Q23E	1Q24E	2Q24E	3Q24E	4Q24E			
Revenue	5,598	5,551	6,154	6,289	6,200	6,100	6,500	6,529	23,593	25,329	27,202
Gross profit	1,489	1,611	1,846	1,905	1,829	1,739	1,885	1,999	6,851	7,451	8,105
Operating profit	720	797	1,018	990	999	859	1,015	1,033	3,524	3,905	4,324
Pre-tax profit	625	949	1,238	1,066	1,048	918	1,074	1,092	3,879	4,132	4,591
Net profit	490	758	978	841	828	734	827	883	3,067	3,272	3,636
Basic EPS (TWD)	0.83	1.28	1.65	1.42	1.40	1.24	1.40	1.49	5.19	5.53	6.15
Margin											
Gross margin	26.6%	29.0%	30.0%	30.3%	29.5%	28.5%	29.0%	30.6%	29.0%	29.4%	29.8%
Operating margin	12.9%	14.3%	16.5%	15.7%	16.1%	14.1%	15.6%	15.8%	14.9%	15.4%	15.9%
Pre-tax margin	11.2%	17.1%	20.1%	16.9%	16.9%	15.0%	16.5%	16.7%	16.4%	16.3%	16.9%
Net margin	8.8%	13.7%	15.9%	13.4%	13.4%	12.0%	12.7%	13.5%	13.0%	12.9%	13.4%
YoY											
Revenue	11.4%	2.4%	11.3%	18.4%	10.7%	9.9%	5.6%	3.8%	10.9%	7.4%	7.4%
Gross profit	50.0%	28.0%	35.7%	34.4%	22.8%	7.9%	2.1%	4.9%	36.3%	8.8%	8.8%
Operating profit	170.5%	67.7%	82.4%	55.8%	38.7%	7.8%	-0.3%	4.3%	82.2%	10.8%	10.7%
Pre-tax profit	61.7%	0.7%	43.4%	162.1%	67.6%	-3.4%	-13.3%	2.4%	49.2%	6.5%	11.1%
Net profit	62.7%	-6.1%	39.9%	144.7%	68.8%	-3.1%	-15.5%	5.0%	42.6%	6.7%	11.1%
QoQ											
Revenue	5.4%	-0.8%	10.9%	2.2%	-1.4%	-1.6%	6.6%	0.5%			
Gross profit	5.1%	8.2%	14.6%	3.2%	-4.0%	-4.9%	8.4%	6.0%			
Operating profit	13.3%	10.6%	27.8%	-2.7%	0.9%	-14.1%	18.2%	1.7%			
Pre-tax profit	53.8%	51.8%	30.4%	-13.9%	-1.7%	-12.5%	17.1%	1.6%			
Net profit	42.7%	54.6%	29.1%	-14.1%	-1.5%	-11.3%	12.7%	6.8%			

Source: Company, Daiwa forecasts

Tong Yang: pre-tax margin and operating margin


Source: Company

Tong Yang: 1-year forward PER


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Sales growth of OEM business (%)	(11.1)	(30.4)	(11.9)	12.0	12.9	5.0	7.1	7.1
Sales growth of AM business (%)	(2.7)	7.5	(22.7)	3.7	17.1	13.4	7.5	7.5
Consolidated gross margin (%)	22.9	25.0	19.9	19.0	23.6	29.0	29.4	29.8

Profit and loss (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
AM	14,768	15,877	12,266	12,716	14,891	16,884	18,147	19,511
OEM-China	5,762	3,586	3,076	3,658	4,408	4,629	4,999	5,399
Other Revenue	2,477	2,151	1,981	2,007	1,983	2,079	2,183	2,292
Total Revenue	23,007	21,614	17,323	18,380	21,283	23,593	25,329	27,202
Other income	0	0	0	0	0	0	0	0
COGS	(17,745)	(16,211)	(13,880)	(14,893)	(16,255)	(16,742)	(17,878)	(19,097)
SG&A	(2,775)	(2,634)	(2,394)	(2,434)	(2,591)	(2,737)	(2,913)	(3,101)
Other op.expenses	(637)	(605)	(509)	(510)	(503)	(590)	(633)	(680)
Operating profit	1,850	2,164	540	543	1,935	3,524	3,905	4,324
Net-interest inc./(exp.)	(169)	(170)	(145)	(110)	(72)	13	13	13
Assoc/forex/extraord./others	735	363	491	334	738	342	214	254
Pre-tax profit	2,416	2,358	885	767	2,600	3,879	4,132	4,591
Tax	(484)	(502)	(142)	(130)	(564)	(807)	(859)	(955)
Min. int./pref. div./others	(6)	129	77	50	115	(5)	0	0
Net profit (reported)	1,926	1,984	820	688	2,151	3,067	3,272	3,636
Net profit (adjusted)	1,926	1,984	820	688	2,151	3,067	3,272	3,636
EPS (reported)(TWD)	3.256	3.355	1.386	1.162	3.637	5.186	5.532	6.147
EPS (adjusted)(TWD)	3.256	3.355	1.386	1.162	3.637	5.186	5.532	6.147
EPS (adjusted fully-diluted)(TWD)	3.256	3.354	1.385	1.160	3.636	5.185	5.531	6.145
DPS (TWD)	1.700	1.800	0.800	0.850	2.500	3.630	3.873	4.303
EBIT	1,850	2,164	540	543	1,935	3,524	3,905	4,324
EBITDA	5,059	5,514	3,834	3,511	4,794	6,959	7,568	8,215

Cash flow (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Profit before tax	2,416	2,358	885	767	2,600	3,879	4,132	4,591
Depreciation and amortisation	3,209	3,350	3,295	2,967	2,859	3,434	3,663	3,891
Tax paid	(484)	(502)	(142)	(130)	(564)	(807)	(859)	(955)
Change in working capital	(190)	53	963	(537)	(438)	(219)	(259)	(240)
Other operational CF items	(249)	(31)	(59)	819	1,134	880	830	790
Cash flow from operations	4,703	5,227	4,941	3,886	5,592	7,168	7,506	8,077
Capex	(3,573)	(3,170)	(2,402)	(2,373)	(2,216)	(2,300)	(2,300)	(2,300)
Net (acquisitions)/disposals	396	939	56	451	1,522	0	0	0
Other investing CF items	(292)	(831)	(166)	(349)	(100)	0	0	0
Cash flow from investing	(3,469)	(3,062)	(2,513)	(2,271)	(793)	(2,300)	(2,300)	(2,300)
Change in debt	129	(1,158)	(600)	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(1,213)	(1,006)	(1,065)	(473)	(503)	(2,147)	(2,291)	(2,545)
Other financing CF items	(208)	100	(380)	(1,209)	(3,449)	0	0	0
Cash flow from financing	(1,292)	(2,064)	(2,045)	(1,682)	(3,952)	(2,147)	(2,291)	(2,545)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(58)	101	384	(67)	847	2,720	2,915	3,232
Free cash flow	1,130	2,057	2,539	1,513	3,376	4,868	5,206	5,777

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Cash & short-term investment	1,136	1,180	1,537	1,454	2,344	5,121	8,094	11,383
Inventory	2,814	2,584	2,664	3,047	3,057	3,296	3,453	3,775
Accounts receivable	4,493	4,650	3,576	3,769	4,159	4,949	4,658	5,752
Other current assets	578	421	376	374	426	426	426	426
Total current assets	9,021	8,834	8,153	8,643	9,987	13,792	16,632	21,336
Fixed assets	20,449	20,387	19,458	18,884	18,192	17,058	15,695	14,103
Goodwill & intangibles	1,125	1,614	1,436	1,261	874	874	874	874
Other non-current assets	6,663	6,271	6,507	5,666	4,487	4,487	4,487	4,487
Total assets	37,258	37,105	35,553	34,453	33,540	36,210	37,688	40,800
Short-term debt	2,637	2,911	1,823	2,202	1,620	1,620	1,620	1,620
Accounts payable	4,224	4,199	4,268	4,411	4,269	5,079	4,686	5,860
Other current liabilities	611	507	290	295	1,000	1,000	1,000	1,000
Total current liabilities	7,471	7,618	6,382	6,908	6,890	7,699	7,307	8,481
Long-term debt	6,888	5,760	5,926	4,568	1,839	1,839	1,839	1,839
Other non-current liabilities	1,025	989	886	710	545	545	545	545
Total liabilities	15,385	14,367	13,194	12,186	9,275	10,084	9,692	10,866
Share capital	5,915	5,915	5,915	5,915	5,915	5,915	5,915	5,915
Reserves/R.E./others	15,033	16,056	15,756	15,723	17,834	19,690	21,559	23,498
Shareholders' equity	20,947	21,971	21,671	21,637	23,749	25,605	27,474	29,412
Minority interests	926	768	688	630	517	522	522	522
Total equity & liabilities	37,258	37,105	35,553	34,453	33,540	36,210	37,688	40,800
EV	55,982	54,927	53,568	52,614	48,300	45,528	42,555	39,265
Net debt/(cash)	8,389	7,492	6,212	5,316	1,115	(1,661)	(4,634)	(7,924)
BVPS (TWD)	35.415	37.146	36.639	36.582	40.151	43.289	46.450	49.727

Key ratios (%)

Year to 31 Dec	2018	2019	2020	2021	2022	2023E	2024E	2025E
Sales (YoY)	(5.9)	(6.1)	(19.9)	6.1	15.8	10.9	7.4	7.4
EBITDA (YoY)	(7.7)	9.0	(30.5)	(8.4)	36.6	45.2	8.8	8.6
Operating profit (YoY)	(26.0)	17.0	(75.1)	0.6	256.2	82.2	10.8	10.7
Net profit (YoY)	(17.7)	3.0	(58.7)	(16.1)	212.9	42.6	6.7	11.1
Core EPS (fully-diluted) (YoY)	(17.7)	3.0	(58.7)	(16.3)	213.4	42.6	6.7	11.1
Gross-profit margin	22.9	25.0	19.9	19.0	23.6	29.0	29.4	29.8
EBITDA margin	22.0	25.5	22.1	19.1	22.5	29.5	29.9	30.2
Operating-profit margin	8.0	10.0	3.1	3.0	9.1	14.9	15.4	15.9
Net profit margin	8.4	9.2	4.7	3.7	10.1	13.0	12.9	13.4
ROAE	9.3	9.2	3.8	3.2	9.5	12.4	12.3	12.8
ROAA	5.1	5.3	2.3	2.0	6.3	8.8	8.9	9.3
ROCE	6.0	6.9	1.8	1.8	6.8	12.3	12.8	13.3
ROIC	4.9	5.6	1.5	1.6	5.7	11.2	12.9	15.1
Net debt to equity	40.0	34.1	28.7	24.6	4.7	n.a.	n.a.	n.a.
Effective tax rate	20.0	21.3	16.1	16.9	21.7	20.8	20.8	20.8
Accounts receivable (days)	75.5	77.2	86.7	72.9	68.0	70.5	69.2	69.8
Current ratio (x)	1.2	1.2	1.3	1.3	1.4	1.8	2.3	2.5
Net interest cover (x)	11.0	12.7	3.7	5.0	26.7	n.a.	n.a.	n.a.
Net dividend payout	52.2	53.7	57.7	73.1	68.7	70.0	70.0	70.0
Free cash flow yield	2.4	4.4	5.4	3.2	7.2	10.4	11.2	12.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1967, Tong Yang Industry is the world's leading after-market (AM) collision-parts manufacturer, with 2022 global revenue market shares of 70% for plastic parts and 35% for sheet-metal parts. The company is also a major OEM auto parts supplier to China and international automakers.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	The CEO and Chairperson of Tong Yang are not the same individual. Tong Yang's board has 7 directors, including 3 independent directors. The board is led by the Wu family (three brothers: Chairman, Vice Chairman, and CEO), which we view as a sign of a stable board as the directors have worked together since the company was established.
	Capital management	2	Tong Yang maintained its dividend payout ratio between 58-73% between 2020-22, which is relatively lower than that of its peers; the company is considered to be a mature player with a limited capacity expansion plan.
	Related party & transaction	2	Revenue generated from related-party transactions is currently between 1-2%, and the transaction conditions are no different than those of normal transactions. Thus, we see limited risk.
S	Product quality & safety	1	Through advanced product and quality planning (APQP), Tong Yang can better manage the product development process, which allows it to fulfil clients' needs in a timely manner. Tong Yang is focused on developing high-quality, eco-friendly, lightweight, and automated products. This is reflected in its 2021 CSR report and we believe that Tong Yang is putting in considerable effort into this area.
S	Materials sourcing & efficiency	2	Tong Yang has set up an online supply chain management (SCM) platform to communicate effectively with its suppliers. This allows it to conduct evaluations and provide feedback to its suppliers to improve efficiency. Moreover, we see an increasing usage of renewable materials in its Aftermarket division, indicating its continuous efforts in boosting efficiency along its production line.
E	Product design & lifecycle management	2	We note Tong Yang's product design and lifecycle management follows four focal points: high-quality, eco-friendly, lightweight, and automated products. This allows the company to effectively engage in the ESG trend, in our view. As shown in its 2022 CSR report, it also focuses on waste reduction and water management in order to create a more eco-friendly production lifecycle.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Source: Daiwa, Company